

Devon Energy

Business Development Dossier

Industry	Oil & Gas
Revenue	\$15B
Employees	5,000
Ideal Customer Profile Score	79

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name

Devon Energy Corporation (post-merger: Devon Energy Corporation)

Headquarters

Houston, Texas (post-merger HQ); Oklahoma City, Oklahoma (significant presence)

Founded 1971

Ownership

Public (NYSE: DVN); post-merger Devon shareholders ~54%, Coterra shareholders ~46%

Footprint

Delaware Basin (West Texas/New Mexico), Permian Basin, Marcellus Shale (Appalachia), Eagle Ford (South Texas), Anadarko Basin (Oklahoma). Post-merger: one of the most geographically diverse shale portfolios in the industry.

SECTION 1b

Company Overview

Devon Energy is an Oklahoma City-based independent oil and gas producer. Its \$58B merger with Coterra Energy will create one of the world's largest shale producers with dominant positions in the Delaware, Permian, and Marcellus basins. The combined entity will be headquartered in Houston with significant Oklahoma City operations.

SECTION 2

Financial Health & Growth Stage

Understanding Devon Energy's financial position and trajectory is critical to framing any engagement conversation.

Combined pre-merger revenue ~\$15B. Post-merger pro forma production: 1.6M Boe/day including 550K barrels oil/day. \$1B annual synergies targeted (including \$300M workforce reduction). The \$58B deal size makes this one of the largest E&P mergers in history. Iran-related oil price volatility (\$100+/barrel) creates both opportunity (higher revenues) and risk (market instability). Analyst sentiment: positive on the strategic rationale (basin diversification, scale) but cautious on merger-of-equals execution risk.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Trey Lowe - SVP and CTO, Integration Co-Lead (Devon side) [PRIORITY TARGET]

Devon technology leader co-leading integration with Coterra counterpart

Outreach rationale: As integration co-lead, Lowe is the Devon executive most directly managing the organizational merger. He feels the cross-company coordination challenges daily.

Blake Sirgo - EVP Business Units, Integration Co-Lead (Coterra side) [PRIORITY TARGET]

Coterra business operations leader co-leading integration with Devon counterpart

Outreach rationale: As Coterra's integration co-lead, Sirgo represents the 'acquired' perspective and manages integration adoption within the Coterra workforce.

Additional leadership team members relevant to the engagement:

Clay Gaspar - President and CEO (post-merger)

Career Devon executive; deep operational and technical expertise in shale production

Tom Jorden - Non-Executive Chairman (post-merger)

Founded Cimarex Energy (which merged into Coterra); legendary figure in Permian Basin operations

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Devon Energy operates today and where friction exists.

Organizational Structure

Post-merger structure organizing around basin-level operating units (Delaware, Permian, Marcellus, Eagle Ford, Anadarko) rather than legacy company lines. Dual-city operations (Houston HQ + OKC significant presence) create geographic coordination challenges. Integration co-led by Devon CTO (Trey Lowe) and Coterra EVP (Blake Sirgo) with McKinsey support. Board split 6/5 (Devon/Coterra) creates governance tension in a merger-of-near-equals.

Culture Signals

Devon: Oklahoma City-based, engineering-driven, operationally conservative, long-tenured workforce with deep community ties. Coterra: Houston-based, formed from the 2021 Cimarex-Cabot merger, more commercially aggressive, Permian Basin operator culture. The OKC-to-Houston HQ move will be emotionally charged for Devon employees. McKinsey's involvement in integration adds a layer of external pressure. Severance terms (4-52 weeks + 18 months COBRA) signal significant expected headcount reduction. [INFERRED: Devon OKC employees who must relocate to Houston or accept separation will test organizational cohesion]

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Devon Energy.

1. 2026-02-26 - Devon and Coterra announce \$58B all-stock merger

One of the largest E&P mergers in history - creates integration challenge at massive scale

2. 2026-06-01 - Expected merger close (Q2 2026) [UPCOMING]

Post-close integration execution begins - organizational design decisions in the first 90 days are critical

3. 2026-02-01 - Integration teams named: Devon CTO Trey Lowe and Coterra EVP Blake Sirgo co-leading with McKinsey support

McKinsey engaged for integration strategy - opens lane for McChrystal as execution/culture complement

4. 2026-03-08 - Iran conflict pushes oil past \$100/barrel

Geopolitical volatility creates both urgency (capitalize on high prices) and distraction (market uncertainty) during integration

5. 2026-02-01 - \$300M workforce reduction announced as part of \$1B synergy program

Significant headcount cuts will test organizational resilience and cultural integration

SECTION 6

McChrystal Fit Assessment

massive trigger (\$58B merger), clear organizational challenge (merger of near-equals, dual-city, \$300M workforce reduction), but McKinsey is already engaged and the E&P industry may require sector credibility. The entry is as McKinsey's complement, not competitor.

Primary Problem

Executing a \$58B merger-of-near-equals between two proud shale operators with distinct cultures (Oklahoma vs. Houston), managing a \$300M workforce reduction, and maintaining operational excellence across five major basins - all while McKinsey advises on strategy but someone needs to make the culture and execution work.

Best McChrystal Capability Fit

McChrystal as the execution complement to McKinsey's integration strategy. McKinsey designs the org chart and synergy plan; McChrystal builds the shared consciousness and empowered execution model that makes the merged organization actually function across dual cities and five basins.

Likely Objections to Engagement

McKinsey is already engaged - Devon may view additional advisory as redundant

Oil & gas industry may view McChrystal as lacking E&P sector expertise

Cost-conscious culture (especially post-\$300M workforce reduction) may resist advisory spending

Board governance (6/5 split) may complicate engagement approval

Competitive Advisory Landscape

McKinsey (already engaged for integration strategy)

Bain or BCG (potential additional strategy support)

Spencer Stuart or Heidrick (leadership alignment)

Industry-specific advisors

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. McKinsey can design the integration plan - but who's responsible for making OKC and Houston teams actually develop shared consciousness and coordinate across five basins without the usual 'acquiring company wins' dynamic?

Directly positions McChrystal as McKinsey's complement. Bold question that gets attention.

2. With the board split 6/5 and integration co-led by one Devon and one Coterra executive, how are you managing the 'merger of equals' dynamic when decisions inevitably favor one legacy company?

Acknowledges the governance tension that merger-of-equals always creates.

Recommended Meeting Framing

Position explicitly as McKinsey's complement: 'McKinsey designs strategy; McChrystal makes it execute across cultures.' This is not competitive positioning - it's additive. McChrystal's military experience with merging units under unified command is the direct parallel.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Devon Energy's market positioning to potential McChrystal engagement opportunities.

Devon's brand is built on operational excellence and responsible energy production, rooted in Oklahoma community identity. Coterra's brand is newer (formed 2021 from Cimarex-Cabot merger) and more commercially aggressive. The combined entity will carry Devon's name but HQ in Houston - creating a brand identity challenge for the OKC workforce and community. [INFERRED: brand strategy post-merger will need to honor Devon's Oklahoma heritage while building a Houston-centered corporate identity]

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Devon Energy. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Merger-of-Equals Execution

The 54/46 ownership split and 6/5 board composition create classic merger-of-equals dynamics. Every decision - from which systems to use to which office to close - becomes a symbolic choice about 'whose company this is.'

McKinsey can model the synergies; McChrystal builds the shared identity that prevents the merged entity from being two companies sharing a name.

Fit Dimension 2: Dual-City Operations

Houston HQ + Oklahoma City significant presence. Devon employees losing their HQ status face identity and career disruption. McChrystal's experience with distributed command structures (multiple forward operating bases) maps to the dual-city challenge.

Fit Dimension 3: McKinsey Complement

McKinsey is engaged for integration strategy. This explicitly opens a lane for McChrystal as the culture and execution partner. The combination of McKinsey (strategy) + McChrystal (operating model) is a compelling pitch to an integration team that knows strategy alone doesn't guarantee execution.

9b. Cumulative Case

Signal chain: \$58B merger announcement -> dual-city HQ -> \$300M workforce reduction -> McKinsey engaged -> board split 6/5 -> 5-basin integration -> oil price volatility. The merger-of-equals dynamic amplifies every integration challenge because neither side can simply absorb the other.

Revenue potential: \$500K diagnostic + leadership alignment (3 months), \$1M-\$1.5M basin-level operating model (6-9 months), \$400K/year ongoing advisory.

9c. Enterprise Issues

1. 'Whose Company Is This?' Dynamic: With 54/46 ownership and dual-city operations, every integration decision is perceived as picking a winner. This paralyzes decision-making.
2. Oklahoma City Identity Loss: Devon employees losing HQ status face career disruption, relocation pressure, and community identity crisis. Voluntary attrition in OKC is a real risk.
3. \$300M Workforce Reduction: Significant headcount cuts across both legacy companies during a period when cultural trust is fragile. Who gets cut - Devon or Coterra employees - becomes a political minefield.
4. Five-Basin Coordination: Operating units across Delaware, Permian, Marcellus, Eagle Ford, and Anadarko must develop shared operational standards while preserving basin-specific geological expertise.
5. McKinsey Strategy-Execution Gap: McKinsey designs the integration plan. Who makes it work at the field level, in the basins, across the rig crews and engineering teams? This is the execution gap McChrystal fills.
6. Board Governance Tension: 6/5 board split means close decisions require cross-company consensus. Contentious integration choices could deadlock.

9d. Expected Outcomes

1. Shared Identity Framework - Build unified Devon culture across OKC and Houston. Measurable: employee identification with 'combined Devon' above 70% within 12 months.
2. Basin-Level Operating Model - Shared consciousness across five basins. Measurable: cross-basin knowledge sharing and best practice adoption within 12 months.

3. Workforce Transition Program - Humane, transparent \$300M reduction that preserves institutional knowledge. Measurable: voluntary attrition below 8% outside of planned reductions.
4. Integration Execution Acceleration - Complement McKinsey's strategy with operating model execution. Measurable: integration milestones achieved on or ahead of McKinsey timeline.
5. Leadership Alignment - Gaspar-Jorden partnership functioning productively. Measurable: unified strategic plan endorsed by full board within 90 days of close.

9e. Key Stakeholders

Delaware Basin

Leader: Unknown

Function: Core shale production

McChrystal Relevance: Largest basin - integration standardization

Permian Basin

Leader: Unknown

Function: Production

McChrystal Relevance: Overlapping legacy operations - talent decisions

Marcellus Shale

Leader: Unknown

Function: Gas production (Coterra legacy)

McChrystal Relevance: Coterra cultural preservation

Integration Office

Leader: Trey Lowe (Devon) + Blake Sirgo (Coterra)

Function: Integration execution

McChrystal Relevance: Priority engagement - direct integration pain

Office of CEO

Leader: Clay Gaspar

Function: Strategic leadership

McChrystal Relevance: Executive sponsor

9f. Opportunity Thesis

Why Now: Merger expected to close Q2 2026. The 90-day window post-close is when cultural trajectory is set. Pre-close engagement (now) enables readiness. Acting after close risks being too late.

Why McChrystal, Not McKinsey: McKinsey IS engaged - and that's the opportunity. Position McChrystal as McKinsey's complement. 'Your strategist designed the integration; we make it execute across cultures and geographies.' This is additive, not competitive. No other firm offers this positioning with military credibility.

Phased Engagement:

- Phase 1 (\$400K-\$500K, pre-close to 90 days post): Leadership alignment + cultural integration diagnostic. Beachhead: the integration co-leads (Lowe + Sirgo) and their teams - start where the work is happening.
- Phase 2 (\$750K-\$1M, 6-9 months post-close): Basin-level operating model + dual-city coordination framework.
- Phase 3 (\$300K-\$400K/year): Ongoing advisory.

Multi-Threaded Pursuit:

- Thread 1: Integration co-leads (Lowe + Sirgo) - direct approach as McKinsey complement for execution
- Thread 2: McChrystal personal network - Oklahoma/Texas energy industry connections, military veterans in E&P
- Thread 3: McKinsey relationship - explore whether McKinsey would refer or co-deliver with McChrystal on culture/execution